Measurement → Value

recognition → recording

* accounting assumbtions:

① Monetary unit.

② Economic entity

③ Going Concern (continuity)
X
liquidity.

• asset/liab < Long / shor

• depreciation

④ periodicity
• periods → financial reports / statements
• closing, adjusting entries

* accounting principles:

① Measurement principle.
• historical cost

• Fair value. (securities, agriculture, gold

② Revenue Recognition.
• Time { earn / realization

③ matching principle.
exp → rev

④ Full disclosure

- Correct
- sufficient

> dicision.

- F.S
- Notes
- supplementary info

⑤

* accounting constraints: [disclosure]

① Materiality:

- relative importance

② cost benefit.

- difficult to be measured. (time-effort)
- benefit must exceed cost

③ industry Type.

④ Conservatism.

«LCM» «بقول الخساره المحتمله مش المكسب المحتمل»

ex

* divide into 12m → periodicity.
* current/non current → Going concern.
* company and its divisions the same F.S → economic entity

* record land, mv↑ → Measurement.
* record Rev when earned → Rev recognition.
* Recognize dep. exp every year → matching
* Denying Lawsuit → Full disclosure

* Report agriculture crops. BS → m.v ⟶ industry.
* didn't record a cotingent lawsuit gain ⟶ Conservatism
* disclode when benefit > Cost ⟶ Cost benefit.
* expense the cost of waste basket ⟶ materiality

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